

available online anytime when you login into your online bank account or are emailed to you within a day or two of FD creation. It is advisable to create a suitable folder on your computer/ laptop and keep a copy of these receipts with you for later reference.

To keep a track of all your FDs with their amounts and maturity dates, banks will normally give you an option to look at the summary of all your fixed deposits, which allows you to see the FD number, amount, rate of interest, maturity date, maturity amount etc.

Figure 7.15 shows a snapshot of the 'Investment Transaction Recorder' that I maintain for keeping a track of all my portfolio transactions (investments, maturity etc.). The same tracker is also available online for you to be able to download and use it for your investment transaction records.

Recurring deposits

Opening a bank Recurring Deposit (RD) is not very different from opening a fixed deposit. You can do it and track it online. Most of the points mentioned for FDs are also applicable for RDs.

Investing money in RDs can be a good second step in your plan execution when you are comfortable with tracking your fixed deposits online.

Since RDs are mostly invested in for a longer tenure as compared to FDs, you should invest when you feel that the rate of interest is relatively higher (or is likely to dip in the near future). Start with smaller monthly amounts that are withdrawn automatically from your bank account.

After one or two years when you are more mature about saving money and do not need automatic deduction from your account, then RDs do not really give you any benefit over FDs.

But initially RDs are not a bad idea at all. I opened RDs many times before I decided that I could handle money myself.

Public Provident Fund